

CHAPTER 3

WHAT ABOUT THE MONEY?

After the family, the other essential element of family money is the money itself. Where does it come from? How much do you need? How do you get it?

Good questions.

As with so many other things we discovered—or inferred—successful Old Money families do things very differently from other people.

First, who has “family money,” and how did they get it?

The surest way to get a fortune is to be born with a silver spoon in your mouth. Better yet, a gold spoon. Money begets money.

But probably more important than the money are the other things we inherit from our parents. It’s a competitive world. Those who inherit money have a head start. But those who inherit drive, ambition, energy, the right attitudes, intelligence, the right culture and so forth will probably pass them somewhere along life’s highway.

If you’re lucky, you’ve already got your family money in hand. Now your only challenge is how to hold on to it. That won’t be easy. Partly because there are so many clever people trying to find ways to take it away from you, and partly because you might be eager to get rid of it yourself.

As to the first point, you have to understand that nature does not favor outliers. She tolerates them—but just barely. That’s why they are outliers way out on the fringe of the bell curve—statistically important, but numerically insignificant.

That is, family money is a relatively rare thing. Just as nature mixes up and redistributes genes, she tends to mix up and redistribute wealth, too. Nature detests a monopoly and abhors a vacuum. Family wealth is like a monopoly; it is a concentration of assets in a family, monopolizing wealth